

M/s Paliwal Alloys (Pvt.) Ltd. v. U.P. Power Corporation Ltd. & Ors.

Allahabad High Court · Division Bench · 31 July 2009 · 2009 SCC OnLine All 829 · C.M.W.P. No. 35248 of 2009 · **Writ petition disposed of; recovery notice and citation quashed; s.127 appeal to be decided in three months**

HEADNOTE

Recovery of electricity arrears is subject to the two-year limitation in Section 56(2) of the Electricity Act, 2003 and Clause 6.15 of the U.P. Electricity Supply Code, 2005: no sum is recoverable after two years from the date it first became due unless it has been continuously shown as recoverable. A peak-hour penalty imposed on 27.11.2006 for the period 24.11.2002-8.2.2003 could not be recovered years later without the Corporation advertenting to s.56(2)/Clause 6.15 and passing a reasoned order explaining recovery after two years; the bald notice of 10.6.2009 gave no such reason and the recovery was unjustified. Separately, recovery of a theft assessment could not proceed while the consumer's Section 127 appeal (permitted by an earlier Division Bench on a part-deposit, with recovery restrained pending the appeal) was pending and the Corporation's SLP had obtained no stay. The demand notice under the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, however, was not invalid (registered notice, recovery certificate after 30 days). The recovery notice and citation were quashed and the Divisional Commissioner directed to decide the s.127 appeal within three months.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.15

Two-year bar on recovery of arrears; a reasoned order required to recover after two years

QUESTION

Could the Corporation recover a peak-hour penalty years after it first became due without advertenting to the s.56(2)/Clause 6.15 two-year bar?

HOLDING

No. Under s.56(2) of the Act and Clause 6.15 of the Code, arrears are not recoverable after two years from the date they first became due (unless continuously shown as recoverable). The peak-hour penalty (imposed 27.11.2006 for 24.11.2002-8.2.2003) could not be recovered after two years without the Corporation advertenting to s.56(2)/Clause 6.15 and passing a reasoned order explaining recovery beyond that period; the 10.6.2009 notice gave no such reason, so the recovery of the peak-hour penalty was unjustified. ¶ 31-32, 35(b), 36

LIMITING FACTS

Peak-hour penalty for 2002-03 sought to be recovered by a 2009 notice giving no reason for recovery after two years; the two-year issue had also been raised before the UPERC, with the Corporation's own SLP pending.

INTERPLAY · EA2003::127

Recovery of a theft assessment cannot proceed while the s.127 appeal is pending under a restraint

HOLDING

The Corporation could not recover the theft assessment (Rs. 84,33,146) while the consumer's s.127 appeal — permitted by an earlier Division Bench (3.8.2006) on a Rs. 10 lakh deposit, with recovery restrained until the appeal was disposed of — was pending, the Corporation's SLP having obtained no interim stay. It ought instead to have pursued early disposal of the appeal. ¶ 35(a), 36

FLAG The order of 19.11.2008 in the Corporation's special appeal did not direct recovery; it only called for details of liability.

INTERPLAY · UPGEU1958::3

Validity of the s.3/s.5 demand notice and recovery certificate

HOLDING

The demand notice under the 1958 Act was not invalid: a registered notice is deemed sufficient service under s.3 Explanation (1), and the recovery certificate under s.5 was issued after the thirty-day period. That specific challenge to

PRINCIPLE TAGS

clause-6.15-two-year-bar-mandatory-licensee-duty-to-act Arrears (here a peak-hour penalty) cannot be recovered after two years from when they first became due (s.56(2)/Clause 6.15); recovery beyond two years requires a reasoned order advertenting to the bar. ¶ 31-32, 35(b)

recovery-of-assessment-stayed-pending-s127-appeal Where an earlier order permitted a s.127 appeal on a part-deposit and restrained recovery pending the appeal, the licensee cannot recover the assessment while the appeal is undecided and no stay has been granted against that restraint. ¶ 35(a)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE MERITS OF THE THEFT ASSESSMENT AND THE PEAK-HOUR PENALTY

Left open: the s.127 appeal is to be decided by the Divisional Commissioner, and the Corporation may proceed on the peak-hour penalty after advertenting to s.56(2)/Clause 6.15. ¶ 36(ii)-(iii)